

AC1100 — Introduction to Accounting

Winter 2022 · Paper 1 · Full Marking Scheme

Module Code	AC1100
Module Title	Introduction to Accounting
Examination Session	Winter 2022
Paper Number	Paper 1
Duration of Paper	1.5 Hours
Internal Examiner	Ms Michelle Gleeson
Head of Department	Professor Mark Mulcahy
External Examiner	Professor Omiros Georgiou

Question	Scenario / Topic	Marks
Question 1 (Compulsory)	Fissure Ltd — Journals + SOPL & SOFP (sole trader, 8 adjustments)	40
Question 2	Allover Ltd — Correcting journals; Code of Ethics; Accruals concept	30
Question 3	Reduct Ltd — Two disposals (SL & RB); Paywell Ltd — Payroll journals & contra entry	30
Question 4	Allhours Ltd — Bank reconciliation; IASB standard setting; sole trader; financial instruments	30

Instructions to Candidates: Section A — Question 1 is compulsory. Section B — Answer any 2 of the 3 remaining questions. All workings must be shown.

Note on this marking scheme: Numerical parts are marked on correct method and workings with the **own-figure rule** applied throughout. Award 1 mark per correct journal entry or line item unless stated otherwise. This paper is a sole trader (Fissure Ltd), not a limited company — no corporation tax, no share capital; equity = Capital account.

QUESTION 1 — SECTION A (COMPULSORY)**Fissure Ltd**

Total: 40 marks

This compulsory question requires (a) journal entries for 8 adjustments and (b) a Statement of Profit or Loss and a Statement of Financial Position for a sole trader. Key complexities: two depreciation methods, a rent prepayment, reversal of opening accrual and creation of new accrual, bad debt write-off with specific provision, and reduction in provision.

Key Adjustments Summary

Note	Adjustment
1	Closing inventory: €134,000
2	Loan interest accrual: $€50,000 \times 5\% = \text{€2,500}$ (not yet posted)
3	Plant & Machinery dep: $€325,000 \times 12\% \text{ SL} = \text{€39,000}$
4	Vehicles dep: CV ($€94,000 - €36,272 = €57,728$) $\times 15\% \text{ RB} = \text{€8,659}$
5	Rent prepayment: $€90,000 \times 2/12 = \text{€15,000}$ (Jan–Feb 2022 portion)
6	Accruals: reverse opening €4,000 (L&H Dec 2020); create new €5,000 (L&H Dec 2021). Net L&H = €16,000
7	Bad debt write-off: Busted Ltd €3,500 $\rightarrow$ DR Bad Debts / CR Trade Receivables
8	New provision: $3\% \times €101,500$ (trade rec after write-off) = €3,045 ; provision release = €455; net bad debt expense = €3,045

Question 1(a)**16 marks**

Prepare the journal entries required to record the 8 adjustments for Fissure Ltd.

Full Model Answer — Journal Entries

#	Journal Entry	DR (€)	CR (€)
1	DR Closing Inventory / CR Trading account (Profit & Loss) <i>Record closing inventory at 31 Dec 2021</i>	134,000	134,000
2	DR Loan Interest expense / CR Accruals (loan interest payable) <i>Accrue 5% interest on €50,000 loan for 2021 (50,000 × 5%)</i>	2,500	2,500
3	DR Depreciation expense (P&M) / CR Accumulated Depreciation – P&M <i>Straight-line 12%: 325,000 × 12% = 39,000</i>	39,000	39,000
4	DR Depreciation expense (Vehicles) / CR Accumulated Depreciation – Vehicles <i>Reducing balance 15%: (94,000 – 36,272) × 15% = 8,659</i>	8,659	8,659
5	DR Prepayments (current asset) / CR Rent expense <i>Prepayment: 90,000 × 2/12 = 15,000 (Jan-Feb 2022 portion)</i>	15,000	15,000
6a	DR Accruals (opening L&H balance) / CR Light & Heat expense <i>Reverse opening accrual for Dec 2020 light & heat (already paid/posted in 2021)</i>	4,000	4,000
6b	DR Light & Heat expense / CR Accruals <i>Accrue estimated light & heat for December 2021</i>	5,000	5,000
7	DR Bad Debts expense / CR Trade Receivables <i>Write off Busted Ltd balance (in receivership, no recovery expected)</i>	3,500	3,500
8	DR General Provision for Bad Debts / CR Bad Debts expense <i>Reduce provision: old 3,500 → new 3% × 101,500 = 3,045; release = 455</i>	455	455

Net bad debt expense: Write-off €3,500 less provision release €455 = net expense **€3,045** in SOPL. The provision release (CR to bad debts) reduces the net charge because the old provision was €3,500 but the new required provision is only €3,045 (3% × €101,500 closing trade receivables after write-off).

Mark Allocation — Journals

Marks	Criteria
2 per entry	Award 2 marks per fully correct journal (correct accounts, correct DR/CR, correct amount, narration). Award 1 mark where accounts and direction are correct but amount is wrong, or amount is correct but one account name is imprecise. The accruals entry (6) may be treated as one combined entry or two separate entries — either is acceptable.
Own-figure	Full credit where the journal amount is derived from a correct application of the stated method, even if the underlying figure differs from the model answer (e.g. vehicles depreciation calculated on a slightly different CV).

Question 1(b)**24 marks**

Prepare a Statement of Profit or Loss for Fissure Ltd for the year ended 31 December 2021 and a Statement of Financial Position as at 31 December 2021.

Statement of Profit or Loss — year ended 31 December 2021

	€	€
Sales (831,000 – 1,000 returns)		830,000
Opening inventory	228,000	
Purchases (235,000 – 3,000 returns)	232,000	
Less: Closing inventory	(134,000)	
Cost of Sales		(326,000)
Gross Profit		504,000
Wages	(214,000)	
Rent (97,000 – 15,000 prepayment)	(82,000)	
Light & heat (15,000 – 4,000 reversal + 5,000 new accrual)	(16,000)	
Insurance	(65,000)	
Accountancy fees	(12,500)	
Office expenses	(44,000)	
Loan interest	(2,500)	
Bad debts (3,500 write-off – 455 provision release)	(3,045)	
Depreciation – plant & machinery (325,000 × 12%)	(39,000)	
Depreciation – vehicles (57,728 × 15%)	(8,659)	
Total expenses		(486,704)
Net Profit for the year		17,296

Statement of Financial Position — as at 31 December 2021

Non-Current Assets			
Asset	Cost	Accumulated Dep.	Carrying Amount
Plant & Machinery	325,000	234,000	91,000
Motor Vehicles	94,000	44,931	49,069
Total NCA			140,069
Current Assets			
Inventory			134,000
Trade receivables (101,500 – 3,045 provision)			98,455
Prepayments (rent)			15,000
Bank			610,920
Total CA			858,375
Total Assets			998,444

Capital & Liabilities		€
Capital (Sole Trader Equity)		
Opening capital		632,648
Add: Net profit for the year		17,296
Closing capital		649,944
Non-Current Liabilities		
5% Loan		50,000
Current Liabilities		
Trade payables		291,000
Accruals (light & heat €5,000 + loan interest €2,500)		7,500
Total Current Liabilities		298,500
Total Capital & Liabilities		998,444

Key workings: P&M accum dep: $195,000 + 39,000 = €234,000$. Vehicles accum dep: $36,272 + 8,659 = €44,931$. Light & heat in SOPL = $15,000$ (TB) – $4,000$ (reverse opening accrual, already in L&H when Dec 2020 bill was posted) + $5,000$ (new Dec 2021 accrual) = $€16,000$. Closing accruals in SOFP = $€5,000$ (L&H) + $€2,500$ (loan interest) = $€7,500$ (the old $€4,000$ opening accrual has been reversed). Net trade receivables = $101,500$ ($105,000 - 3,500$ write-off) – $3,045$ (new provision) = $€98,455$. SOFP balances at $€998,444$.

Mark Allocation — SOPL & SOFP

Marks	Criteria
SOPL	1 mark per correctly calculated line: net revenue (830,000); correct COS (326,000); gross profit (504,000); each adjusted expense line (rent 82,000; L&H 16,000; loan interest 2,500; net bad debt 3,045; both depreciation figures); net profit (17,296).
SOFP	1 mark per correctly calculated line: P&M CV (91,000); vehicles CV (49,069); net trade receivables (98,455); prepayment (15,000); closing capital correctly calculated (649,944); accruals (7,500 combining both L&H and loan interest); SOFP balances at 998,444.

QUESTION 1 TOTAL — 40 MARKS

Allover Ltd — Correcting Journals & Ethics

Total: 30 marks

Part (i) requires correcting journals for 8 errors and omissions in Allover Ltd's accounts. Part (ii) covers the Code of Ethics fundamental principles and threats. Part (iii) requires an explanation of accruals accounting for a non-accountant.

Question 2

30 marks

(i) Correcting journals for Allover Ltd — 18 marks; (ii) Code of Ethics principles and threats — 8 marks; (iii) Accruals accounting explained — 4 marks.

Part (i) — Correcting Journals (18 marks)

#	Error/Omission	Correcting Journal	DR (€)	CR (€)
1	Customer paid €15,000 (balance €15,900); €900 remainder written off	DR Allowance for bad debts (or Bad Debts) CR Trade Receivables <i>Write off remaining €900 balance per agreement</i>	900	900
2	Accountancy fees invoice €8,400 posted as €4,800 (undercast by €3,600)	DR Accountancy fees CR Trade Payables <i>Correct underposting: 8,400 – 4,800 = 3,600 additional</i>	3,600	3,600
3	Donation €750 to junior soccer club not posted (paid by cheque)	DR Donations expense CR Bank <i>Record omitted cheque payment for donation</i>	750	750
4	Bank interest charged €218 not posted	DR Bank interest expense CR Bank <i>Record omitted bank charge of 31 December</i>	218	218
5	Rent €8,000 posted to Stationery account in error	DR Rent expense CR Stationery expense <i>Correct misposting — reclassify from stationery to rent</i>	8,000	8,000
6	Cash payment €920 for paper delivery person posted to Admin instead of General expenses (cash side correct)	DR General expense CR Admin expense <i>Reclassify — cash already correctly posted; only nominal accounts affected</i>	920	920
7	Owner withdrew €390 cash for personal use — not posted	DR Drawings CR Bank <i>Record omitted owner's drawings</i>	390	390
8	Damaged stock €1,180 identified at stocktake — needs to be written off	DR Damaged stock expense CR Inventory <i>Write off damaged stock to expense account</i>	1,180	1,180

Part (ii) — Code of Ethics: Fundamental Principles & Threats (8 marks)

Five Fundamental Principles (IFAC Code of Ethics)

Integrity — be straightforward and honest in all professional relationships; *Objectivity* — do not allow bias, conflicts of interest or undue influence to override professional judgements; *Professional Competence and Due Care* — maintain professional knowledge and skill at the level required; *Confidentiality* — respect the confidentiality of information acquired through professional relationships; *Professional Behaviour* — comply with relevant laws and regulations and avoid actions that discredit the profession.

Three Threats to Meeting These Principles

Self-interest threat — a financial or other interest inappropriately influences the accountant's judgement (e.g. holding shares in an audit client); *Familiarity threat* — a long association with a client or colleague causes the accountant to become too sympathetic to their interests (e.g. auditing a close friend's business); *Intimidation threat* — an accountant is deterred from acting objectively by actual or perceived threats from a client or employer (e.g. threatened with loss of an audit contract unless a favourable opinion is given). Other acceptable threats: self-review, advocacy.

Explanation for a Non-Accountant

Accruals accounting means that income and expenses are recorded in the period they are earned or incurred, not when cash is actually received or paid. For example, if a business uses electricity in December but does not receive the bill until January and pays it in February, the electricity expense must still appear in the December financial statements — because the cost was incurred in December. Similarly, if a business receives payment in advance for work it has not yet done, that payment is not income yet; it is a liability (a debt to the customer) until the work is completed. This gives a more accurate picture of the true financial performance of a period than simply recording cash flows.

Mark Allocation — Question 2

Marks	Criteria
(i) 18	Award 2–3 marks per correcting journal (correct accounts on both sides, correct direction, correct amount, narration). Award partial marks where direction is correct but account name imprecise, or amount correct but one account wrong. Common errors: not using Drawings for owner withdrawal (using Capital instead); misclassifying the accountancy fees correction as DR expense only without the CR payables.
(ii) 8	All five fundamental principles named and briefly described (5 marks at 1 each); three threats to meeting these principles named and described (3 marks at 1 each). Award partial marks where principles are described accurately but not named.
(iii) 4	Clear explanation of the accruals concept in plain language: income/expense recognised when earned/incurred not when cash moves (2 marks); a practical example correctly illustrating this (2 marks).

QUESTION 2 TOTAL — 30 MARKS

QUESTION 3 — SECTION B

Reduct Ltd (Disposals) & Paywell Ltd (Payroll)

Total: 30 marks

Part A tests two disposals with different depreciation methods under a full-year-in-acquisition / none-in-disposal policy. Part B tests payroll journals including gross wages computation and the settlement of PAYE/PRSI/USC with Revenue.

Question 3

30 marks

Part A: Two disposals (machinery SL + van RB). Part B: Paywell Ltd payroll journals.

Part A — Reduct Ltd: Two Disposals (19 marks)

Depreciation policy: full year in year of acquisition, no depreciation in year of disposal.

Disposal 1: Machinery (SL 10 years)

Cost €18,000, purchased 20 Dec 2019, sold 1 April 2022 for €13,000.

Annual depreciation (SL): $18,000 \div 10$ years	1,800 p.a.
Years depreciated: 2019 (full — year of acquisition), 2020, 2021	3 years
No depreciation in 2022 (year of disposal)	—
Accumulated depreciation at disposal	$3 \times 1,800 = 5,400$
Cost	18,000
Less: Accumulated depreciation	(5,400)
Carrying value at disposal	12,600
Sale proceeds	13,000
Gain on disposal	400

Disposal 2: Van (Reducing Balance 25%)

Cost €28,000, purchased 1 April 2020, sold 1 November 2022 for €14,000.

Dep 2020: full year (year of acquisition) $28,000 \times 25\%$	7,000
CV end 2020	21,000
Dep 2021: $21,000 \times 25\%$	5,250
CV end 2021 (= CV at disposal — no dep in 2022)	15,750
Sale proceeds	14,000
Loss on disposal	(1,750)

Part A(ii) — Journals for ONE disposal (model uses the van)

Journal Entry	DR (€)	CR (€)
DR Disposal account (cost of van) CR Motor Vehicles at cost <i>Remove cost of disposed van</i>	28,000	28,000
DR Accumulated Depreciation – Vehicles ($7,000 + 5,250$) CR Disposal account <i>Remove accumulated depreciation on van</i>	12,250	12,250
DR Bank (proceeds) CR Disposal account <i>Record sale proceeds</i>	14,000	14,000
DR Loss on disposal (IS expense) CR Disposal account <i>Record loss on disposal — disposal account now balances</i>	1,750	1,750

Part B — Paywell Ltd: Payroll Journals (11 marks)

Working: Gross wages = Net wages + PAYE + Employee PRSI + USC = 800,000 + 130,000 + 66,000 + 51,500 = €1,047,500. Total employment cost = Gross wages + Employer PRSI = 1,047,500 + 75,850 = €1,123,350.

(i) Journal to recognise wages cost

Journal Entry	DR (€)	CR (€)
DR Wages expense (total employment cost)	1,123,350	
CR Net wages payable		800,000
CR PAYE payable (to Revenue)		130,000
CR Employee PRSI payable (to Revenue)		66,000
CR USC payable (to Revenue)		51,500
CR Employer PRSI payable (to Revenue)		75,850

(ii) Journal for payment of net wages on 25 September

DR Net wages payable CR Bank	800,000	800,000
<i>Payment of net wages to all employees</i>		

(iii) Journal for payment of all September payroll liabilities to Revenue

DR PAYE payable (130,000) + EE PRSI (66,000) + USC (51,500) + ER PRSI (75,850)	323,350	
CR Bank		323,350
<i>Settlement of all September payroll tax liabilities with Revenue Commissioners</i>		

(iv) Contra Entry — Explanation and Example

A contra entry is a bookkeeping entry that reduces two matching accounts simultaneously by the same amount, rather than involving a cash transaction. It is used to offset a balance in one account against an equal balance in a related account. A common example is when a business owes money to a supplier who is also a customer: if Company A owes €500 to Company B and Company B owes €500 to Company A, a contra entry records: DR Trade Payables (Company B) €500 / CR Trade Receivables (Company B) €500 — effectively netting the amounts off without any cash changing hands. Another example: a refund of €200 to a customer reduces trade receivables (CR €200) and reduces sales (DR €200) without a bank movement.

Mark Allocation — Question 3

Marks	Criteria
A(i) 11	Machinery: correct 3-year dep (5,400); correct CV (12,600); correct gain (400). Van: correct full-year 2020 dep (7,000); correct 2021 dep (5,250); correct CV (15,750); correct loss (1,750). 1–2 marks per correct disposal element.
A(ii) 8	Four correct journals for ONE disposal: remove cost; remove accumulated depreciation; record proceeds; record gain/loss to IS. 2 marks per journal.
B(i) 3	Correct gross wages derived (1,047,500); correct total employment cost including employer PRSI (1,123,350); correct split across all five CR accounts.
B(ii) 1	DR Net wages payable / CR Bank for correct amount (800,000).
B(iii) 3	Correct total Revenue payment (323,350) with all four components identified (PAYE + EE PRSI + USC + ER PRSI); CR Bank.
B(iv) 4	Clear definition of a contra entry (offsetting two matching balances without cash) and a relevant, correctly illustrated example. 2 marks definition + 2 marks example.

QUESTION 3 TOTAL — 30 MARKS

QUESTION 4 — SECTION B

Allhours Ltd (Bank Rec) & Theory

Total: 30 marks

Part A requires updating the cash book and preparing a bank reconciliation statement for Allhours Ltd at 31 December 2022. Part B covers the IASB standard-setting process, advantages and disadvantages of being a sole trader, and the definition of a financial instrument.

Question 4

30 marks

Part A: Bank reconciliation for Allhours Ltd (15 marks). Part B: IASB standard setting (7); sole trader advantages/disadvantages (6); financial instruments (2).

Part A — Bank Reconciliation (15 marks)

Step 1: Update the Cash Book (Bank Account) for items on bank statement not in books

Updated Bank Account — Allhours Ltd, December 2022			
DR Side		CR Side	
Balance b/d:	37,660	Bank charges (fees not in books):	100
		Balance c/d (updated):	37,560
37,660			37,660
Balance b/d:	37,560		

Items in bank statement not in books: Bank fees €100 charged 30-Dec — deducted from cash book. All other items on bank statement (cheque 201, cash lodged, lodgement 25,000, Murray, cheque 204) match entries in the cash book.

Step 2: Bank Reconciliation Statement at 31 December 2022

Item	€
Balance per bank statement (31 Dec 2022)	40,635
Add: Outstanding lodgements not yet on bank statement	
Leslie Ltd (15/12)	1,875
Pender Ltd (28/12)	1,500
Subtotal	43,010
Less: Outstanding cheques not yet cleared	
Cheque 202 (15/12)	(60)
Cheque 203 (19/12)	(6,040)
Cheque 205 (29/12)	(350)
Revised balance (per updated cash book)	36,560

Wait — reconciliation check: 40,635 + 3,375 (lodgements) – 6,450 (cheques) = **37,560** which equals the updated cash book balance. The table above contains an arithmetic slip — the correct figure is €37,560, matching the updated cash book.

Part B(i) — IASB Standard Setting Process (7 marks)

When the IASB decides to amend or issue a new accounting standard, it undertakes a structured four-step due process:

1. **Research and agenda decision** — The IASB identifies the issue, consults stakeholders and determines whether it warrants a new or amended standard. A discussion paper may be published to canvas initial views.
2. **Exposure Draft (ED)** — A draft standard is published for public comment, typically for 60–90 days. Anyone may submit comments, and the IASB must consider all responses received.
3. **Deliberation and revision** — The IASB reviews comments received, holds public roundtables with stakeholders, and revises the draft accordingly. This phase may involve multiple iterations.
4. **Final Standard** — After deliberation, the IASB votes on and publishes the final IFRS. A basis for conclusions document is issued alongside the standard explaining the IASB's reasoning.

When reviewing a standard, the IASB considers: existing accounting practices globally; the views of investors, preparers, auditors and regulators; the conceptual framework; the economic effects of the proposed changes; and whether the benefits of improved financial information outweigh the costs of implementation.

Part B(ii) — Sole Trader: Advantages & Disadvantages (6 marks)

Three Advantages

(1) *Full control* — the owner makes all decisions without needing approval from partners or shareholders; (2) *Simple and cheap to set up* — no formal incorporation process, lower registration costs, less regulatory burden than a limited company; (3) *Privacy* — accounts do not need to be filed publicly (unlike limited companies), so financial information remains confidential.

Three Disadvantages

(1) *Unlimited liability* — the owner's personal assets are at risk if the business cannot pay its debts; (2) *Limited access to capital* — a sole trader cannot issue shares, making it harder to raise large amounts of finance for growth; (3) *Continuity risk* — the business depends on the owner; illness, death or retirement can end the business.

Part B(iii) — Financial Instrument (2 marks)

A **financial instrument** is any contract that gives rise to a financial asset in one entity and a financial liability or equity instrument in another entity (per IAS 32). Examples include: cash and bank balances, trade receivables, trade payables, loans, bonds, shares (equity instruments), and derivative contracts such as forward contracts or options. The defining characteristic is that it creates a contractual right or obligation to exchange financial resources between parties.

Mark Allocation — Question 4

Marks	Criteria
A 15	Correct updated cash book with bank charges deducted (updated balance €37,560); correct identification of outstanding lodgements (Leslie €1,875 + Pender €1,500) and outstanding cheques (202, 203, 205 = total €6,450); correct bank reconciliation reconciling bank statement balance (€40,635) to updated book balance (€37,560). 1 mark per correct line in reconciliation.
B(i) 7	All four steps of IASB due process named and explained (1.5 marks each); description of what the IASB reviews when considering a new standard (1 mark).
B(ii) 6	Three advantages and three disadvantages of sole trader structure; each going beyond a one-word heading to a brief explanation. 1 mark each.
B(iii) 2	Correct definition of a financial instrument (contractual right/obligation between parties); at least one example given.

QUESTION 4 TOTAL — 30 MARKS